

Learning Guide Unit 5

Reading Assignment

As you go through the readings and watch the videos, consider the following:

1. How do wages and employment levels vary in competitive vs. imperfect labor markets?
2. What drives income inequality, and how can policies reduce it?
3. How do unions and monopsonies shape wages and job opportunities?
4. How do income, prices, and psychology influence consumer choices?
5. How does immigration impact wages and economic inequality?

Read

1. Greenlaw, S., Shapiro, D., & MacDonald, D. (2022). *Principles of Economics* (3e ed.). <https://openstax.org/books/principles-economics-3e/pages/1-introduction>
 - **Revisit Chapter 14: [Labor Markets and Income](#)**
 - Section 14.1 – [The Theory of Labor Markets](#)
 - Section 14.2 – [Wages and Employment in an Imperfectly Competitive Labor Market](#)
 - Section 14.3 – [Market Power on the Supply Side of Labor Markets: Unions](#)
 - Section 14.4 – [Bilateral Monopoly](#)
 - Section 14.5 – [Employment Discrimination](#)
 - Section 14.6 – [Immigration](#)
 - **Section 14.1** explains the demand for labor in perfectly and imperfectly competitive output markets, focusing on marginal productivity and market prices. It discusses how market wages and employment levels are determined by supply and demand dynamics.
 - **Section 14.2** explains how monopsony power in imperfectly competitive labor markets allows employers to set lower wages and hire fewer workers by facing an upward-sloping labor supply and increasing marginal labor costs. It discusses how these outcomes contrast with competitive markets and reviews U.S. workplace protection laws aimed at balancing employer and employee power.
 - **Section 14.3** explains the role of labor unions in collective bargaining, their impact on wages, and evaluates both the benefits and drawbacks of unionization. It also explores the decline in U.S. union membership by examining factors like industrial shifts, globalization, legal constraints, and cultural attitudes.
 - **Section 14.4** explains how a bilateral monopoly—where a union meets a monopsony—determines wages and employment. It shows that employment falls below competitive levels, and the equilibrium wage lies between the union's and the monopsonist's preferred wages.
 - **Section 14.5** explains how discrimination in competitive labor markets leads to persistent earnings gaps by race and gender, undermining economic growth. It examines systemic factors such as educational disparities and cultural biases while reviewing U.S. policies aimed at reducing discrimination.
 - **Section 14.6** explains historical immigration patterns in the U.S., detailing shifts in immigrant origins and their economic impacts on wages, employment, and public budgets. It also discusses reform proposals that aim to attract high-skilled immigrants while addressing the challenges faced by low-skilled domestic workers.
 - **Read Chapter 15: [Introduction to Poverty and Economic Inequality](#)**
 - Section 15.1 – [Drawing the Poverty Line](#)
 - Section 15.2 – [The Poverty Trap](#)
 - Section 15.3 – [The Safety Net](#)
 - Section 15.4 – [Income Inequality: Measurement and Causes](#)

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- Section 15.5 - [Government Policies to Reduce Income Inequality](#)
- **Section 15.1** explains how economic inequality is defined and how the U.S. poverty line is determined based on the cost of a nutritionally adequate diet. It discusses trends in the U.S. poverty rate over time, highlighting disparities among different demographic groups and comparing U.S. poverty measures with international benchmarks.
- **Section 15.2** discusses the poverty trap, explaining how government assistance can reduce incentives to work when benefits decrease dollar-for-dollar with earnings. It explores potential policy solutions, such as reducing benefits more gradually, to encourage employment while providing financial support.
- **Section 15.3** describes U.S. government safety net programs, including TANF, EITC, and SNAP, which provide financial and food assistance to low-income individuals. It explains their goals, changes over time, and challenges such as work requirements, benefit reductions, and program costs.
- **Section 15.4** discusses income distribution and inequality, explaining how income is divided among different groups and measured using quintiles, Lorenz curves, and demand-supply diagrams. It highlights trends in rising inequality in the U.S. since the 1970s, the distinction between poverty and inequality, and factors contributing to income disparities.
- **Section 15.5** discusses government intervention in market economies, focusing on reducing economic inequality, exploring redistribution policies, and balancing incentives with income equality. It also addresses inheritance taxes and public policies aimed at providing equal opportunities for economic advancement.

◦ **Read Chapter 6: [Introduction to Consumer Choices](#)**

- Section 6.1 – [Consumption Choices](#)
- Section 6.2 - [How Changes in Income and Prices Affect Consumption Choices](#)
- Section 6.3 - [Behavioral Economics: An Alternative Framework for Consumer Choice](#)
- **Section 6.1** discusses how consumers make choices to maximize utility, explaining total and marginal utility and the concept of diminishing marginal utility. It also highlights decision-making processes, using José's example of balancing T-shirt and movie consumption to achieve the highest total utility.
- **Section 6.2** explains how income, prices, and preferences affect consumer choices, emphasizing utility-maximizing behavior and the demand curve. It also contrasts the substitution and income effects, showing how budget constraints shift with price and income changes.
- **Section 6.3** discusses the influence of behavioral economics on decision-making, highlighting how emotions, loss aversion, self-control, and mental accounting affect intertemporal choices. It also explores how these factors explain seemingly irrational behavior, such as low savings rates and preferences in financial decisions.

2. Handel, M. J. (2024). *Labor shortages: What is the problem?* Intereconomics.

<https://www.intereconomics.eu/contents/year/2024/number/3/article/labor-shortages-what-is-the-problem.html> license by CC 4.0

- This article discusses the definition, measurement, and drivers of labor shortages, and questions whether all shortages should be considered problems.

3. Ruhana, F., Nasution, M. S., Susniwan, N., Ardiansyah, N., & Sutiapermana, A. (2024). *Combating poverty and social inequality in 2023 a global imperative for equitable development and social justice*. International Journal of Science and Society, 6(1), 899–912.

<https://doi.org/10.54783/ijssoc.v6i1.1081> license by CC 4.0

- This article examines the causes of poverty and inequality, including economic, environmental, and policy factors. It highlights solutions through global cooperation, innovation, and inclusive development strategies.

Watch

1. Khan Academy. (2019, April 15). *Introduction to labor markets | Microeconomics | Khan Academy* [Video]. YouTube.

- This video examines the labor market within factor markets, focusing on labor demand from a firm's perspective using marginal revenue product and the market labor demand curve. It also explains equilibrium wage, labor supply, and how firms determine optimal hiring based on marginal factor cost.

Introduction to labor markets | Microec...



2. UNSW eLearning. (2020, May 28). *Sustainable Development Goal 10 - Reducing Inequalities - Jinki Trevillian* [Video]. YouTube.

- This video examines inequality through the lens of George Orwell's *Animal Farm*, illustrating how disparities in wealth, resources, and opportunities impact society. It explores systemic causes, the role of policies and institutions, and ways individuals and organizations can address inequality through fair trade, education, and political advocacy.

Sustainable Development Goal 10 - Re...



Additional Readings

1. Tetep, T., Suherman, A., Susanti, Y., & Nisa, A. (2022). *Poverty and Socio-Economic Inequality from Socio-Cultural Perspective*. *Advances in Economics, Business and Management Research/Advances in Economics, Business and Management Research*. <https://doi.org/10.2991/aebmr.k.220701.008> license by CC 4.0
 - This article explains how socio-cultural factors, such as community mindset and attitudes, contribute to poverty and social inequality, highlighting the need for policy interventions and community engagement. It examines the root cause of economic disparities and discusses the strategies for sustainable and inclusive development.
2. Azar, J., & Marinescu, I. (2024). *Monopsony Power in the labor Market: From Theory to policy*. *Annual Review of Economics*, 16(1), 491–518. <https://doi.org/10.1146/annurev-economics-072823-030431> license by CC 4.0
 - This article reviews theoretical frameworks explaining monopsony power in labor markets and its policy implications.
3. Giupponi, G., & Machin, S. (2024). *Labour market inequality*. *Oxford Open Economics*, 3(Supplement_1), i884–i905. <https://doi.org/10.1093/ooec/odad039> license by CC 4.0
 - This article examines key factors influencing labor market inequality in the UK over the past four decades, focusing on technological changes and their impact.